

Fly GACA — Investor Risk Memo & Diligence Checklist

SECTION 02-legal TYPE memo STATUS **active** OWNER Founder UPDATED 2026-06-16

A skeptical outside-investor view of Fly GACA, written to be argued with. **Not legal, financial, or investment advice.** It is a founder's-eye risk inventory and a diligence punch-list — the questions a hard-nosed investor would ask before writing a cheque, and the proof points that would move the answer from "pass" to "yes".

Date: 2026-05-30 · **Stage assessed:** pre-revenue, pre-entity, product largely built (see `roadmap.md`) · **Status:** living document — update as risks are retired.

One-page summary

Fly GACA is a deep, polished, single-founder product solving a real problem (Saudi civil aviation regulation is scattered and hard to study). The build is far ahead of the business. The reasons an investor hesitates are **not** about product quality — they are about **market size, unresolved legal/brand risk, dependence on GACA, key-person risk, and the total absence of revenue validation.**

Verdict in one line: a genuinely good product wrapped around an unproven, capped market and a stack of unresolved legal/dependency risks — fundable *after* the legal all-clear and real proof of demand, not before.

#	Risk	Severity	Likelihood	Status
R1	Brand/name ("Fly GACA") may be unregistrable / passing-off exposure	Critical	Medium–High	Open (awaiting lawyer)
R2	Corpus rehosting rights unconfirmed	Critical	Low–Medium	Open (awaiting lawyer)
R3	Small, single-country, single-regulator TAM	High	High (structural)	Unquantified
R4	Dependence on / threat from GACA itself	High	Medium	Unmitigated (no relationship)
R5	Solo founder / bus factor of one	High	—	Acknowledged, unmitigated
R6	No revenue validation; monetization unbuilt	High	—	Open (Phase 5 not started)

#	Risk	Severity	Likelihood	Status
R7	AI accuracy/liability in a safety-critical domain	Medium–High	Medium	Partial (guards, thin evals)
R8	PDPL / data-residency compliance burden	Medium	—	Open (DPIA not done)
R9	Thin/commoditizing moat	Medium	Medium	Structural
R10	Content-freshness treadmill (AIRAC 28-day cycle)	Medium	High (ongoing)	Manual, founder-bound

Risks in detail

R1 — The brand rests on a name you may not be allowed to own (*Critical*)

`phase0.md` P0-2 already concludes "Fly GACA" may be **unregistrable** at SAIP and carries **passing-off / misrepresentation** exposure because it leans on a government authority's identity; a disclaimer is "necessary but not sufficient." All SEO, domain equity, and marketing spend compound into a brand that may need a post-launch rebrand or attract a cease-and-desist. **This is the single biggest reason to wait.** *Mitigation:* lawyer opinion in hand; decide keep / tagline-only / rebrand **before** public launch; have "Captain Adel" ready as a brand that survives a rebrand.

R2 — The corpus rests on an unconfirmed copyright position (*Critical*)

The product *is* rehosted GACAR/AIP. The "official documents" exclusion is likely favorable but unconfirmed, and the 2026 Copyright Law's implementing regulations are not yet published. An unfavorable answer collapses the product to a "deep-link index," gutting the reader, search, and most RAG value. *Mitigation:* lawyer opinion; ship as deep-link index until cleared (already the plan).

R3 — The market may be too small to justify the build (*High*)

Saudi Arabia has a few thousand active pilots/cadets — not hundreds of thousands. At SAR 49/mo, even strong capture is a modest revenue line. Single-country, single-regulator; every new market (UAE GCAA, etc.) is a corpus rebuild, not a copy-paste. Plausibly a good **cashflow/lifestyle business**, harder to see a **venture-scale** outcome. *Mitigation:* a credible bottoms-up TAM (below); honest framing of the financing type.

R4 — You depend on, and are most threatened by, the same body (*High*)

GACA could ship its own free official app, endorse a competitor, change the regulation format, or object to the name — any one is potentially fatal. You sit adjacent to a government monopoly with no endorsement and a borrowed name. *Mitigation:* secure at minimum a documented non-objection; ideally a pilot/partnership.

R5 — Bus factor of one (*High*)

"Captain Adel" is the founder. The roadmap itself flags solo-founder load. The 1:1 Consult line literally sells the founder's hours. No team, no redundancy, no continuity plan. *Mitigation*: co-founder or first hire; remove the founder from the content-freshness path.

R6 — Enormous build, zero market validation (*High*)

11 phases shipped, but Phase 5 (money) is "Not started," payments unwired, no legal entity to accept payment, waitlist capture not live. Prices are "decided" but never tested on a paying customer. Scarce solo-founder time was spent building before selling. *Mitigation*: pre-sell before finishing the paywall — LOIs / pre-paid subscriptions.

R7 — AI in a safety-critical domain is a liability vector (*Medium–High*)

Captain Adel gives regulatory/currency/minima guidance. Citations + disclaimers reduce but don't remove the risk of a confidently-wrong answer a pilot relies on. The eval harness is ~17 cases — thin for a compliance assistant. *Mitigation*: expand evals substantially; track groundedness; keep refuse-don't-guess behavior; legal review of disclaimer sufficiency.

R8 — PDPL / data-residency burden (*Medium*)

Personal data must stay in-Kingdom; the DPIA is a hard gate (Phase 3) not yet done. The out-of-Kingdom VPS boundary is a compliance tripwire. Adds cost and operating drag. *Mitigation*: complete the DPIA; keep the public-data-only VPS boundary auditable.

R9 — The moat is thinner than claimed (*Medium*)

"Only platform on GACAR + cited AI" — but the corpus is public and scrapable, and LLM+RAG over public docs is commoditizing. The durable moats (brand, distribution, official endorsement) are exactly what's missing/at-risk today. *Mitigation*: convert head-start into distribution and/or endorsement before a funded competitor or GACA replicates it.

R10 — Content-freshness treadmill (*Medium, ongoing*)

AIP changes every 28-day AIRAC cycle; GACAR amends regularly. Stale content in a compliance product is worse than none — and the refresh burden lands on one person and grows with each prep pack. *Mitigation*: semi-automate ingestion/freshness; staffing plan for upkeep.

Scalability notes

- **Tech scales; the business model is the constraint.** Firebase + vanilla JS is fine for realistic load. The non-scaling parts are 1:1 consults and manually-maintained prep packs.
- **No geographic leverage** — corpus, tools, and AI grounding are Saudi-specific.
- **B2B concentration** — only a handful of Saudi flight schools, so a few logos = most revenue; long, relationship-driven sales cycles with no sales motion or entity yet.

- **Best scalable line (subscriptions)** targets the smallest audience; the per-buyer-rich lines (consults, packs) don't scale.
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Diligence checklist — what would move "pass" → "term sheet"

A. Legal / existential (highest priority)

- ☐ Written Saudi IP-lawyer opinion on the **name** (keep / tagline / rebrand)
- ☐ Written opinion on **corpus rehosting** rights (host vs. deep-link)
- ☐ Documented **GACA position** — at minimum a non-objection; ideally a partnership/endorsement path
- ☐ Disclaimer sufficiency reviewed against misrepresentation/passing-off exposure
- ☐ AI-corpus position confirmed under the 2026 law + its implementing regulations

B. Market & demand (prove people pay)

- ☐ Bottoms-up TAM: count of Saudi pilots + cadets + flight schools, with sources
- ☐ Realistic capture model → revenue ceiling; honest venture-vs-cashflow framing
- ☐ 2–3 signed **flight-school LOIs** (seat commitments)
- ☐ $\geq N$ pre-sold annual subscriptions or paid pilots (sell before finishing the payroll)
- ☐ Evidence willingness-to-pay at SAR 49/mo (interviews, landing-page conversion, pre-orders)

C. Team & continuity

- ☐ Co-founder or first hire identified; equity/role plan
- ☐ Key-person mitigation — founder removed from the content-freshness critical path
- ☐ Continuity plan if the founder is unavailable

D. Product / liability / compliance

- ☐ Expanded Captain Adel eval set (well beyond ~17 cases) with a published accuracy/groundedness bar
- ☐ PDPL DPIA completed and signed off; controller registered/appointed
- ☐ Content-freshness process (AIRAC re-ingestion) documented and semi-automated

E. Operating readiness

- ☐ Legal entity registered (P0-3); business bank account open
 - ☐ Payment gateway + ZATCA VAT / Fatoora path validated
 - ☐ Live waitlist capture + a working go-to-market channel with early traction data
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What I'd want to hear in the next meeting

1. The lawyer's verdict on the name and the corpus — in writing.
2. Whether GACA will tolerate, ignore, or partner with you.
3. Proof that a flight school or a pilot will actually pay — a signature, not a survey.

Retire R1, R2, R4, and R6, and this becomes a very different — and fundable — conversation.